HIT GOODS & SERVICES TAX

GOOD WORK IN PROGRESS

The biggest reform in indirect taxation, GST replaced a complex and fragmented system, unified the tax structure, led to smoother logistics and boosted government revenue

THE IRELAND-BASED FIRM RESEARCH AND MARKETS recently predicted that India's warehouse market size would grow at around 15.6 per cent to reach $35 billion by the end of FY27, from around $14.6 billion in FY21. This is on top of the 17 per cent annual growth between FY16 and FY21. It was the time when the Centre started implementing a major indirect tax reform, Goods &Services Tax, in June 2017 that removed tax barriers and encouraged logistics firms to lease or set up larger warehouses. In one of the biggest reforms in the indirect ecosystem, the new tax replaced the 17 taxes levied by the Centre and states, including excise duty, service tax, value-added tax (VAT), and others. It brought uniformity in the tax structure across India, eliminating the cascading effect of taxes on prices of end products, since it is levied at each stage of the supply chain, from the manufacturer to the consumer. It is applied to value addition at each stage, allowing for the seamless flow of credits and reducing the tax burden on the consumer.

The positive effect of GST also reflects in smoother logistics movement, with goods-laden trucks not having to stop at the entry and exit points of states, eliminating the need for multiple compliance documents. It also expands tax revenues, with reduction in the process cost of tax collection. In FY24, the gross GST collection was Rs 20.14 lakh crore—crossing the Rs 20 lakh crore milestone for the first time—an 11.6 per cent increase over the previous year.

However, there are issues related to products, like liquor, electricity, tobacco, octroi, stamp duties on land

There is no consensus on merging taxes on petroleum products. The different tax slabs need to be harmonised too



SUMIT KUMAR

MISS MSMEs

Struggling for Survival

The government's relief schemes have failed to uplift the MSME sector, which is hit by commodity price fluctuations and a global demand slowdown

THE MSME (MICRO, SMALL & MEDIUM ENTERPRISES) SECTOR was among the worst hit in the Covid-19 pandemic. Numerous units shut shop due to a lack of consumer demand and liquidity. To help businesses stay afloat, the government implemented various schemes, including the Emergency Credit Line Guarantee Scheme and the Credit Guarantee Trust for Micro and Small Enterprises. Furthermore, the focus on digitisation, evident in initiatives like the Goods & Services Tax and the online registration portal Udyam, accelerated formalisation in the sector. So far, around 25 million MSMEs have registered to avail government benefits.

However, the sector's challenges seem to see no end. As though the slowdown in western markets wasn't enough, the ongoing Russia-Ukraine war has subdued demand further. Fluctuations in commodity prices, particularly of crude oil and steel, have further complicated production planning and pricing for MSMEs across manufacturing sectors. "If the challenging situation persists, layoffs and increased bad debts might become inevitable," cautions Prashant Patel, former president of the Federation of Indian Micro and Small & Medium Enterprises (FISME).

The share of MSME output in India's overall manufacturing output has remained relatively stagnant at 36.6 per cent, 36.9 per cent and 36.2